Summary of Health Insurance for ‘Humans’: Information Frictions, Plan Choice, and Consumer Welfare

Tate Mason

Broad Question

The authors seek to use new data to understand risk preferences, information frictions, and hassle costs affecting consumers in their health insurance choices.

Specific Question

The authors leverage proprietary, novel, data from a large firm and supplement it with a survey, to perform analysis on understand risk preferences of consumers. Further, they utilize a simple framework, presenting two plan options: PPO and HDHP, to estimate the welfare implications of information frictions and hassle costs on consumer choices. They then utilize structural choice models to estimate the importance of additional frictions, showing that these frictions lead to very significant effects of risk preferences.

Policy Relevance

A policy maker should care about this paper because it provides insights into how consumers make health insurance choices, particularly in the presence of information frictions and hassle costs. Understanding these factors is crucial for designing effective health insurance policies that can improve consumer welfare and ensure better health outcomes. The findings can inform policymakers about the potential benefits of simplifying plan options or providing better information to consumers, ultimately leading to more informed decision-making and improved access to healthcare.

Economic Relevance

This paper is economically relevant as it addresses the issue of consumer choice in health insurance markets, which has significant implications for market efficiency and consumer welfare. By analyzing how information frictions and hassle costs affect plan choices, the study shows the behavioral aspects of economic decision-making. The findings can help economists understand the dynamics of health insurance markets, including how consumers respond to different plan designs and the role of risk preferences in shaping their choices. This knowledge is very useful for developing models that accurately capture consumer behavior in health insurance markets.

What We Learn

From this paper, we learn a lot of things. First, from their data, we learn that consumers are extremely heterogeneous in their risk preferences, with a significant portion being highly risk-averse. Second, we find a high degree of lack of information amongst employees regarding their health insurance options, with many unable to correctly identify key features of their plans. Third, we learn that hassle costs play a significant role in plan choice, with many consumers opting for plans that are not optimal for their risk profiles due to perceived complexity or inconvenience. From the empirical analysis, we pick up more. Consumers have a relatively high degree of risk aversion, it increases with age and income, and female employees have a higher degree of risk aversion than male employees, though only age increases are significant. Further, upon adding inertia, they find a lower degree of risk aversion, previewing the effects of frictions. Finally, from the full model, they find the lowest risk aversion and they find lower variance. Overall, they find that the friction measures lead to enhanced analysis ability of choice prediction estimation and impact risk preference estimates.

Empirics

I will be honest, at time of writing I am still digesting their choice model, so I do not have a ton to say besides I really like the idea of how they modeled friction and will be implementing something similar into my macro project. Sorry for lack of insight, but I am still working through it!